

Week 4 Strategic Frameworks

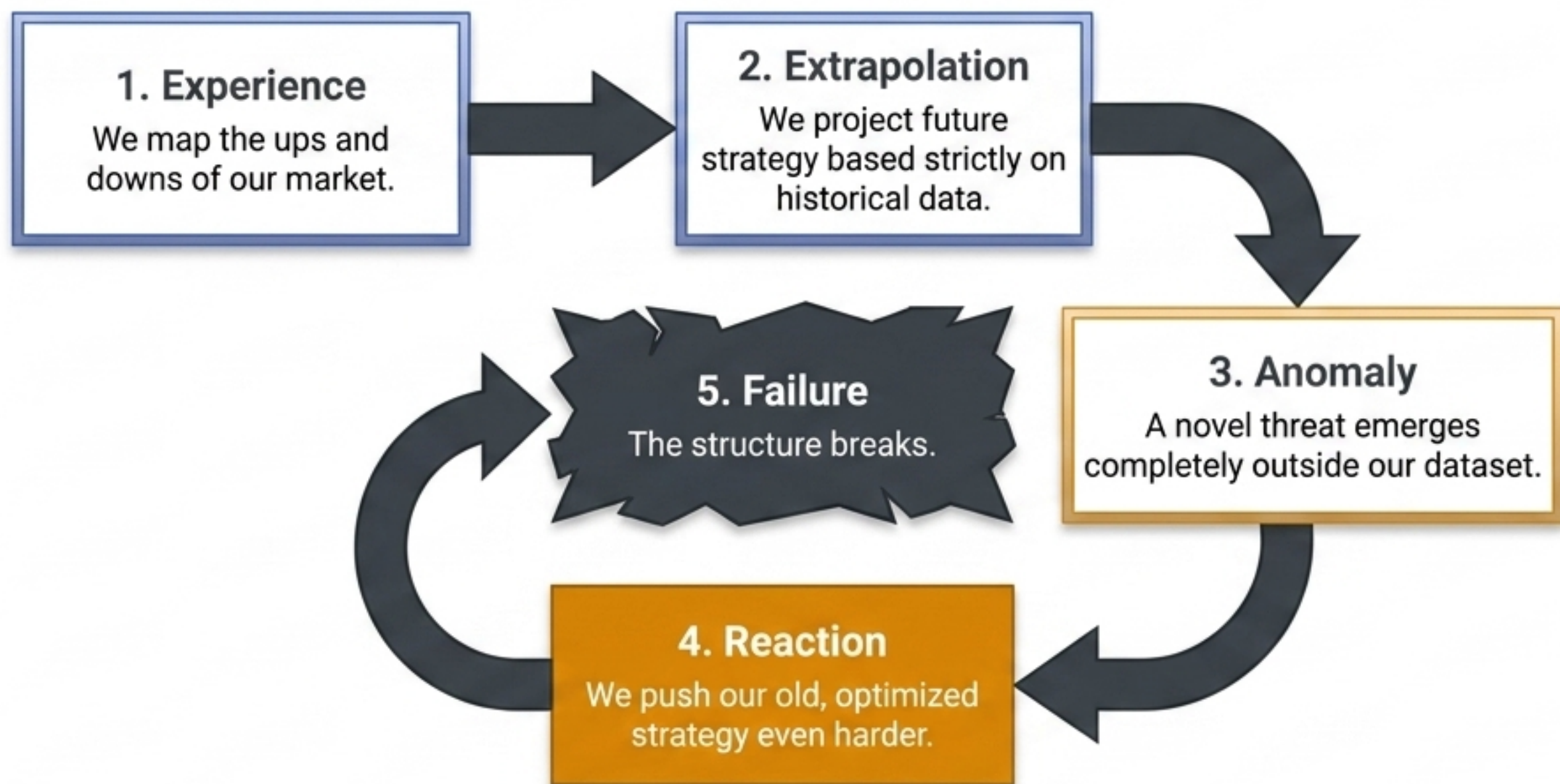
The Innovator's Dilemma

**Sustaining vs. Disruptive Innovation &
The Anatomy of Industry Upheaval**

“The same ‘good management’ that made them successful is often exactly what destroys them.”

The strategic paradox:
How do you manage a dominant company into the ground by doing everything perfectly right?

The Danger of “Structure Extrapolation”



The trap of mature industries is relying on historical patterns to predict unprecedented structural shifts.

Sustaining Innovation

Better, faster, more expensive products tailored for current, high-end customers. (Measured, predictable, high margin).



Disruptive Innovation

Starts simpler and cheaper for low-end or entirely new markets, then relentlessly improves and attacks from below the horizon.





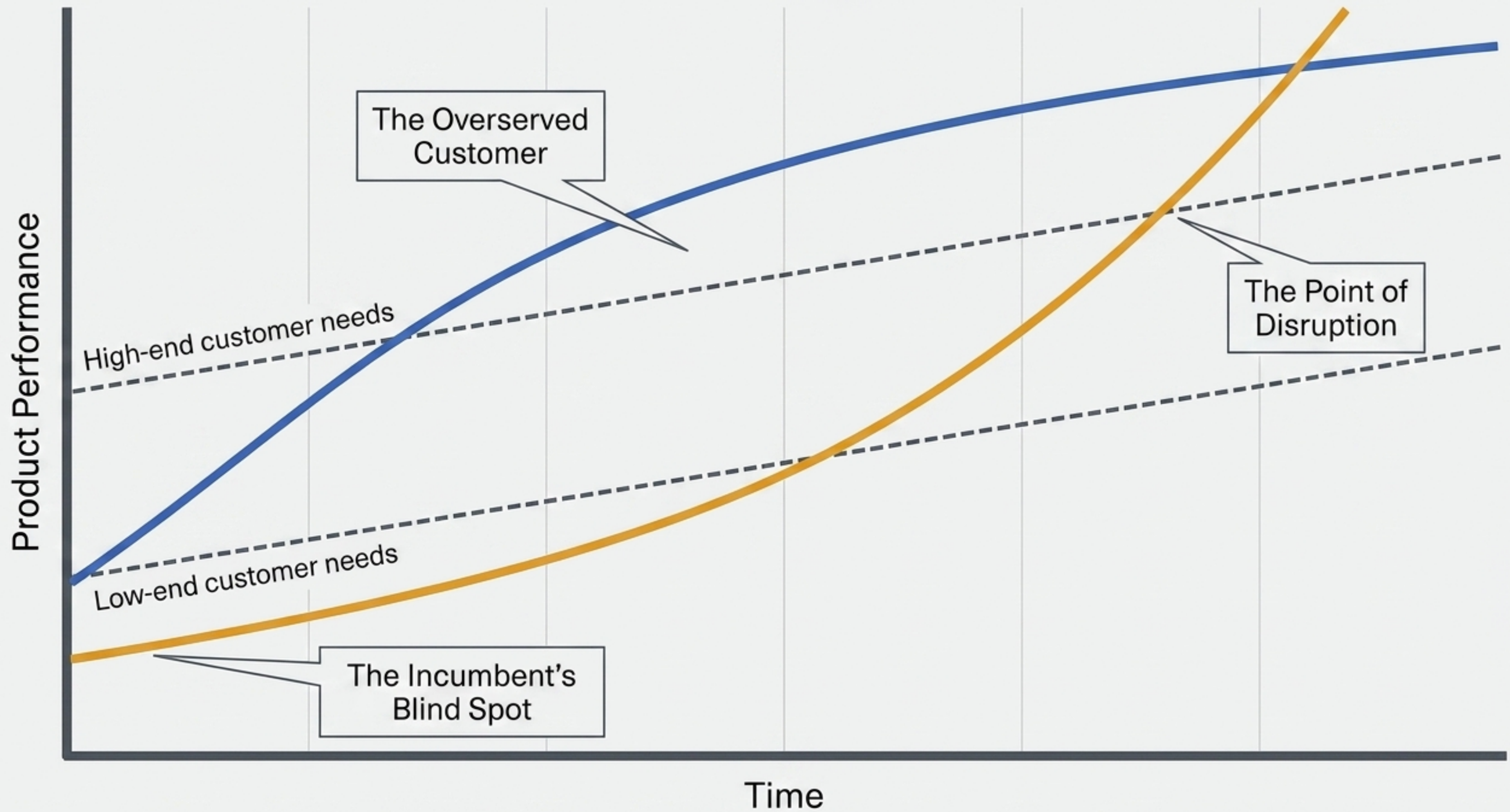
Upgrading First Class

Fighting for the same elite customers by adding expensive features. High margins, but a stagnant total market.



Inventing the Budget Airline

Initially dismissed by major carriers as "too uncomfortable." Eventually dominates the industry by unlocking a massive new market of non-consumers.



Dimension

Sustaining Innovation

Disruptive Innovation

Target Customer

Most profitable,
demanding users

Non-consumers or
overserved users

Performance

Incremental, historical
improvements

“Not as good” by
historical metrics

Business Model

Higher margins, complex,
low volume

Lower margins, simple,
high volume

Incumbent
Response

Fierce, immediate
retaliation

“Let them have that
low-profit market”

Is it really disruptive?

The 6-Point Litmus Test



**Targets non-consumers
or overserved
populations?**

1



**Historically “inferior”
performance by
traditional metrics?**

2



**Simpler, more
convenient, or more
affordable?**

3



**Backed by a technological
enabler to carry it
upmarket?**

4



**Paired with a sustainable
business model
innovation?**

5



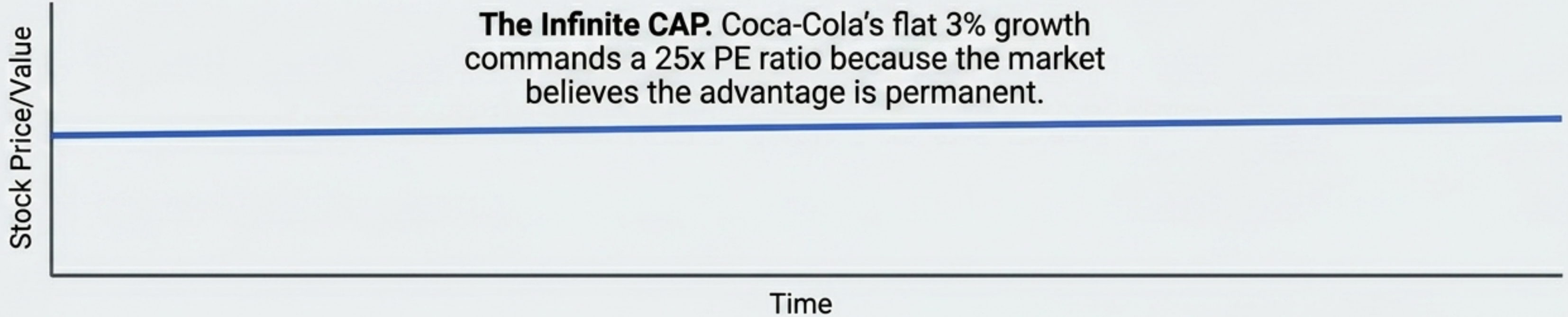
**Are existing providers
financially motivated to
ignore it?**

6

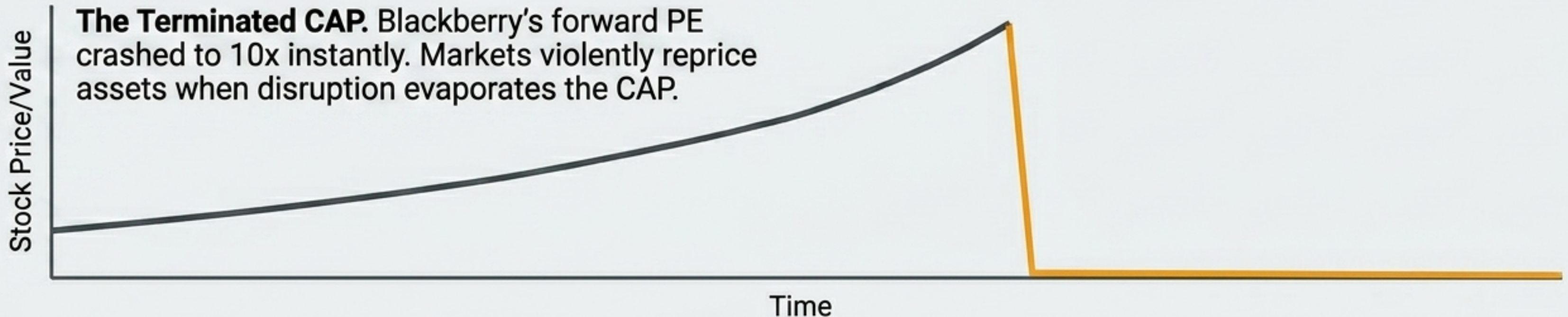
Competitive Advantage Period (CAP):

The duration a company can maintain its edge before competitive forces catch up.

The Infinite CAP. Coca-Cola's flat 3% growth commands a 25x PE ratio because the market believes the advantage is permanent.



The Terminated CAP. Blackberry's forward PE crashed to 10x instantly. Markets violently repriced assets when disruption evaporates the CAP.



The 500-Pound Gorilla

Google: 95.87% Market Share

Bing: 1.63% Market Share

A defacto monopoly and one of the most reliable cash flow generators in financial history. Highly optimized for two decades around a single, highly lucrative ad format.

Traditional Search

- **Model:** Indexed links & user browsing.
- **Monetization:** Pay-per-click ad revenue.
- **Status:** Highly profitable, minimal friction.

LLMs / Generative AI

- **Model:** Instant human-like synthesis (bypasses links & ads).
- **Compute Reality:** 512,820 A100 HGX servers required (4,102,568 GPUs).
- **The Cost:** \$100B in Capex / \$36B operating income decline.

The Ultimate Innovator's Dilemma: Pivot and cannibalize your own profits, or hold steady and risk obsolescence.

Targets non-consumers?

**[FAIL - Anomaly:
Targets the exact
same same users]**

Inferior initially?

**[PASS -
Hallucinations, slow]**

Simpler/Convenient?

**[PASS - Instant
synthesis]**

Tech enabler to move
upmarket?

**[PASS - Rapid
model scaling]**

Business model
innovation?

**[PASS - Subscription
/ API vs Ads]**

Incumbents motivated
to ignore?

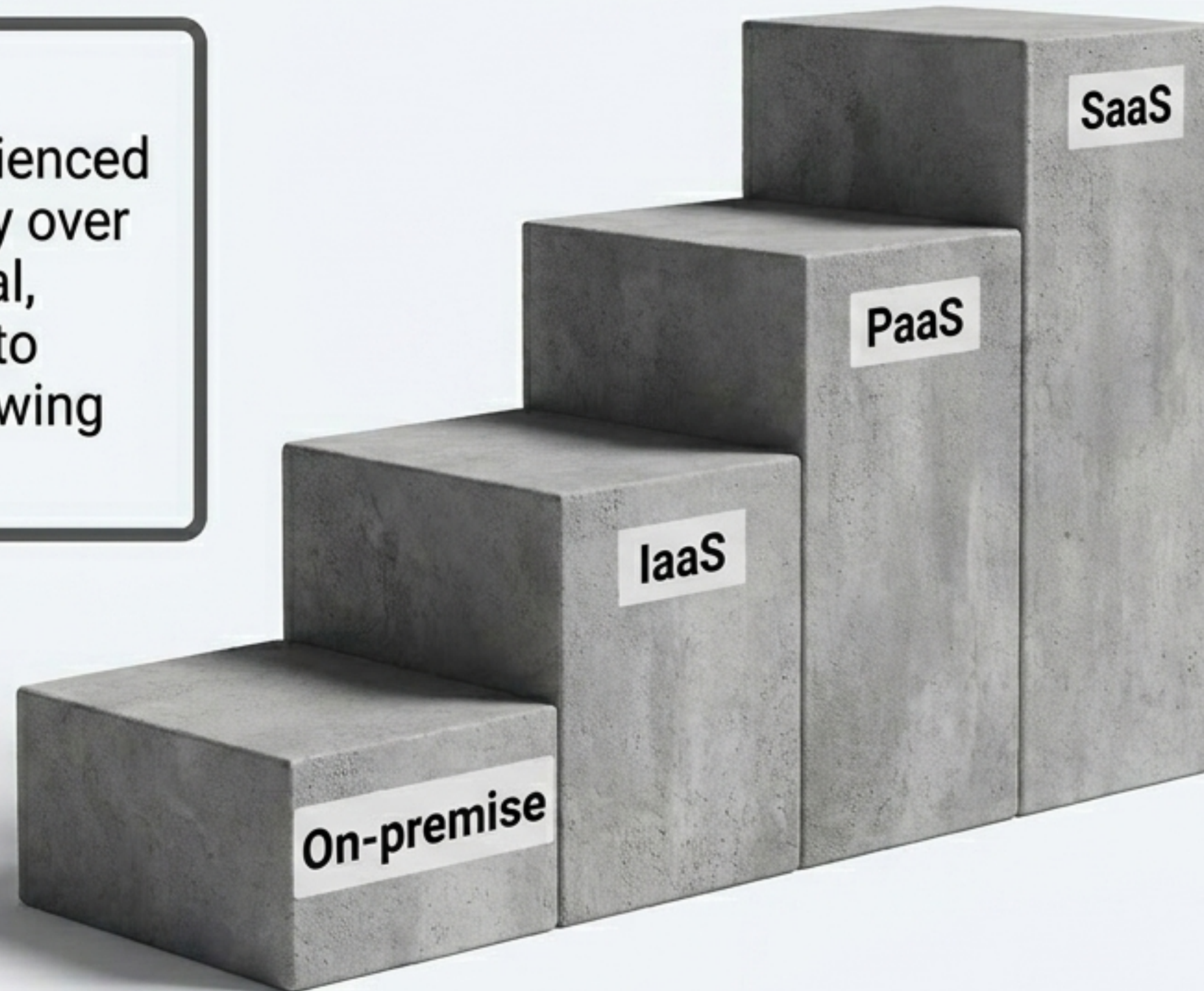
**[PASS - Fatal Blow:
AI directly destroys
ad margins]**

Frameworks reveal the blindspot. Even with an anomaly in Q1, Q6 dictates that Google's financial structure makes it actively resistant to defending itself.

The Subtle Penetration of Cloud Computing

The Friction

Managers experienced immense anxiety over entrusting critical, **physical assets** to third parties, slowing early adoption.



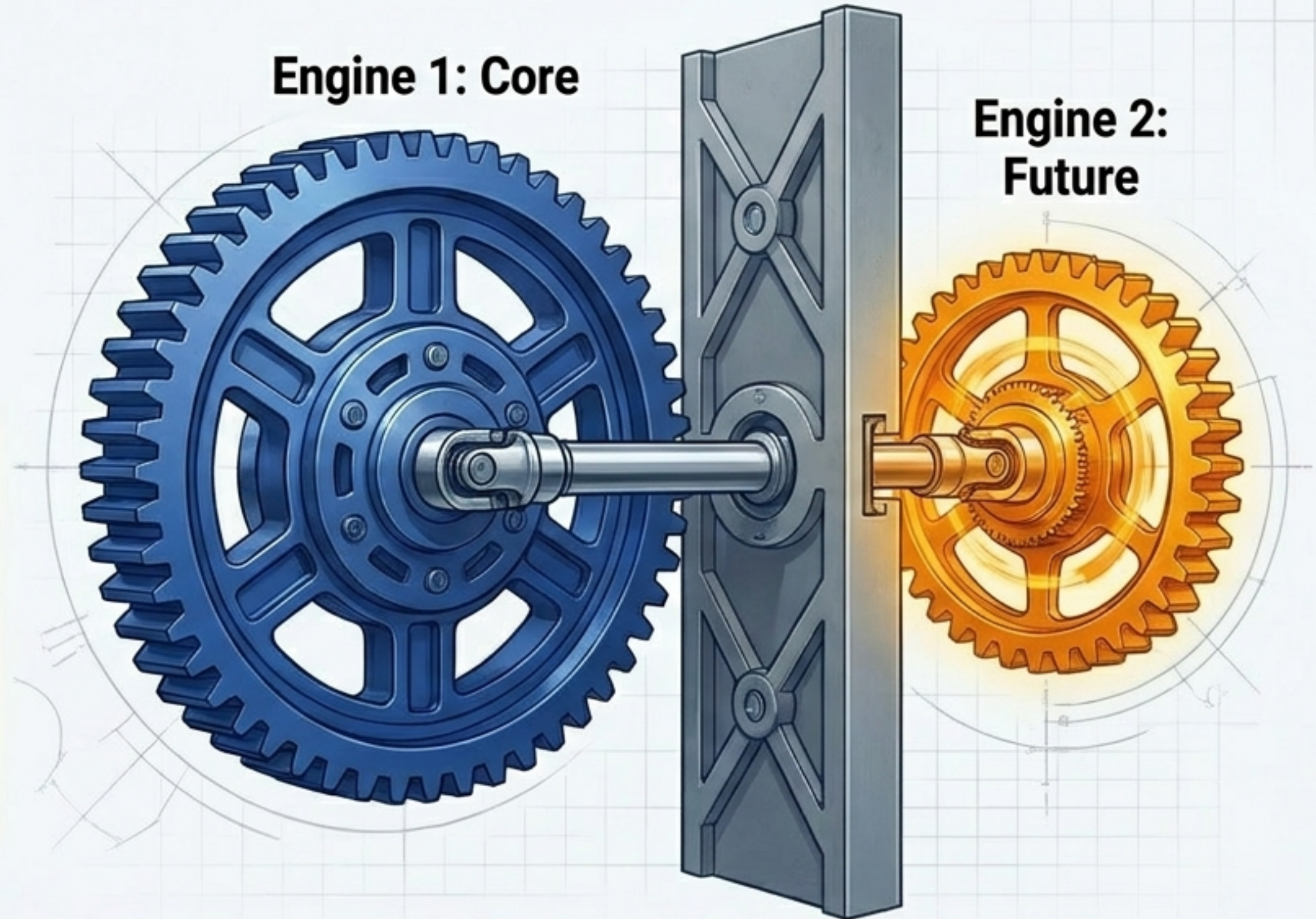
The Reality

Disruption does not require speed. Cloud computing exhibited a **subtle nature** and **slow pace**, yet maintained a **pervasive** character that eventually replaced the traditional paradigm entirely.

Synthesis: The Dual-Engine Strategy

You cannot force a highly optimized sustaining organization to execute a disruptive strategy. Their **financial immune system** will kill it.

Survival requires creating an **independent spin-out (Engine 2)** with its own **autonomous P&L**, entirely free from **the margin expectations** and **structural extrapolation** of the parent company.



The Horizon Ahead

The CEO Dilemma.

If you are Sundar Pichai, how do you restructure Google's business model to absorb the \$36B cost of LLM inference without collapsing your stock price?

Your Target Company.

Look at your group project. Is your incumbent currently practicing "Structure Extrapolation"? What is the unseen threat attacking them from below the horizon?